

Smarter technology for all

Q2FY26 Earnings Announcement

November 20, 2025



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Smarter technology for all

Yuanqing Yang

Chairman & CEO

November 20, 2025

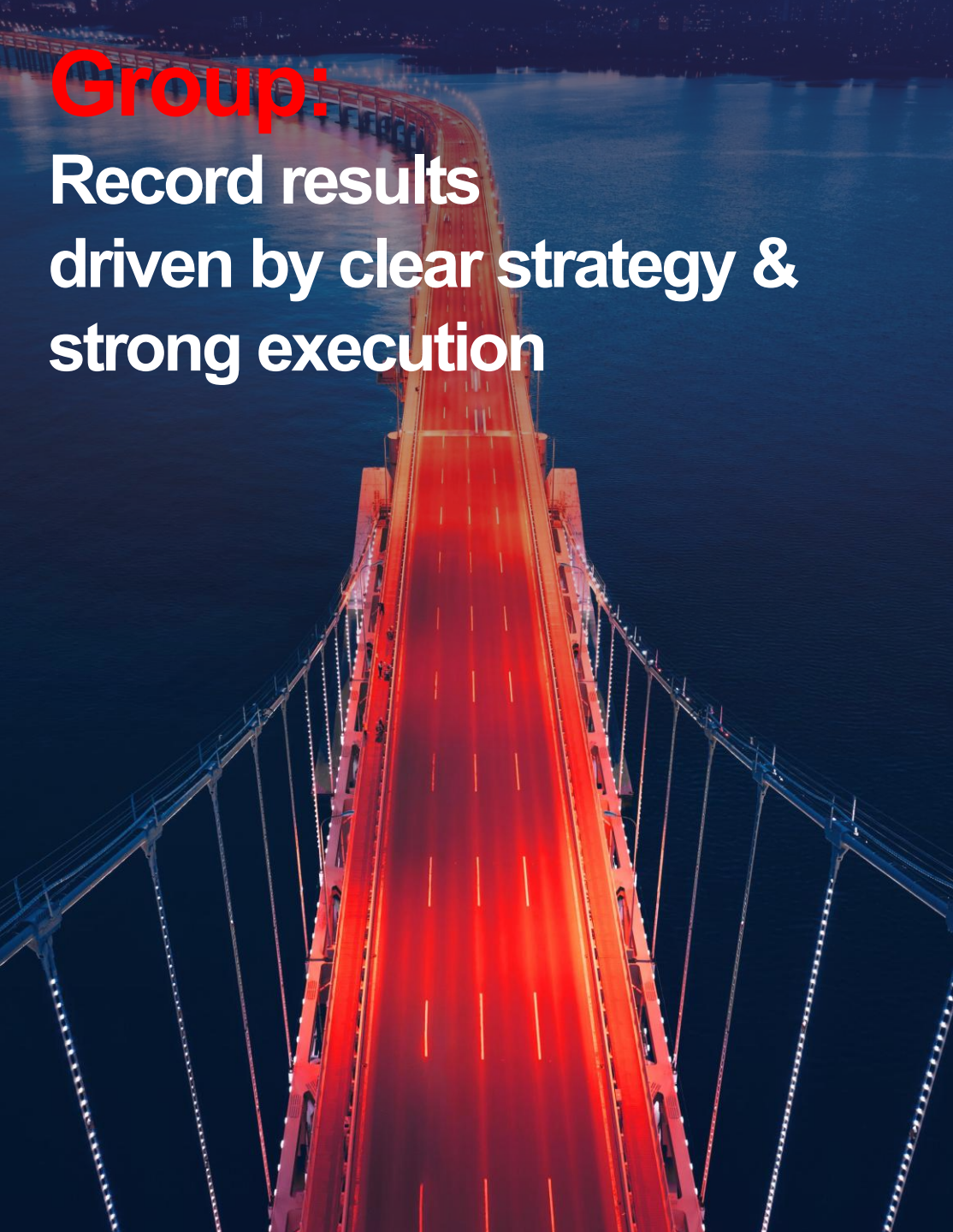




**Strong quarter
Record performance**



**Hybrid AI Strategy
Significant progress**



Group:

Record results
driven by clear strategy &
strong execution

Performance

- **Revenue: \$20.5 billion**, record high, **+15% YoY**
- **Adjusted net profit: \$512 million**, **+25% YoY**
- **Strong growth across the board**
 - **Main businesses (IDG/ISG/SSG):** all double-digit YoY revenue growth
 - **Sales Geos:** all double-digit YoY revenue growth
- **AI related revenue: 30%** of group total, **+13pts YoY**

An abstract background featuring a dark blue and purple gradient. It is filled with numerous small, glowing yellow and orange particles, some of which are connected by thin, vertical lines, creating a sense of depth and movement, similar to a starry night sky or a digital data visualization.

Group:

**Record results
driven by clear strategy &
strong execution**

Outlook

- Positive signs of stabilization in external environment
- Operational resilience: leveraging unique model of “Global/Local” to navigate uncertainties
- Driving strategy to capture Hybrid AI opportunities
- AI democratization accelerating, centered around individuals and enterprises:
 - AI devices of diverse form factors
 - Hybrid infrastructure (public cloud, private cloud, on-prem data center, edge)
 - AI solutions & services for diverse needs

Personal AI

Innovation strengthening
market leadership,
enriching ecosystem



Progress

- Users demand AI outputs based on own experiences, memories, behaviors & knowledge
- Landing Personal AI strategy: “One Personal AI, Multiple Devices”, creating Personal AI Twin
- Building Personal AI super agent across devices, apps, OS/ecosystems: see what you see, hear what you hear, memorize what you experienced; think as you would think, act as you would act

Personal AI

Innovation strengthening
market leadership,
enriching ecosystem



IDG Performance

- Revenue **\$15.1 billion**, **+12%** YoY
- Strong profitability, operating margin **7.3%**
- **PC**: revenue **+17%** YoY; industry leading profitability; market share **25.6%**, record high; Windows AI PC market share **31.1%**, maintained **global #1**
- **Smartphone**: Motorola smartphone volumes record high
- **AI Devices**: revenue mix **36%**, **+17pts** YoY

Enterprise AI

Unleashing Hybrid AI Advantage, from infrastructure to solutions & services

Progress

- Enterprises prioritizing private domain, with growing emphasis on efficiency, response speed, security/privacy, sustainability
- Infrastructure market undergoing important shift:
 - From AI training in public cloud to AI inferencing on premise & on edge
- Higher growth of devices & apps
- Driving Enterprise AI strategy: unleashing the value of enterprises data & knowledge, creating Enterprise AI Twin

Enterprise AI

Unleashing Hybrid AI
Advantage, from
infrastructure to
solutions & services

ISG Performance

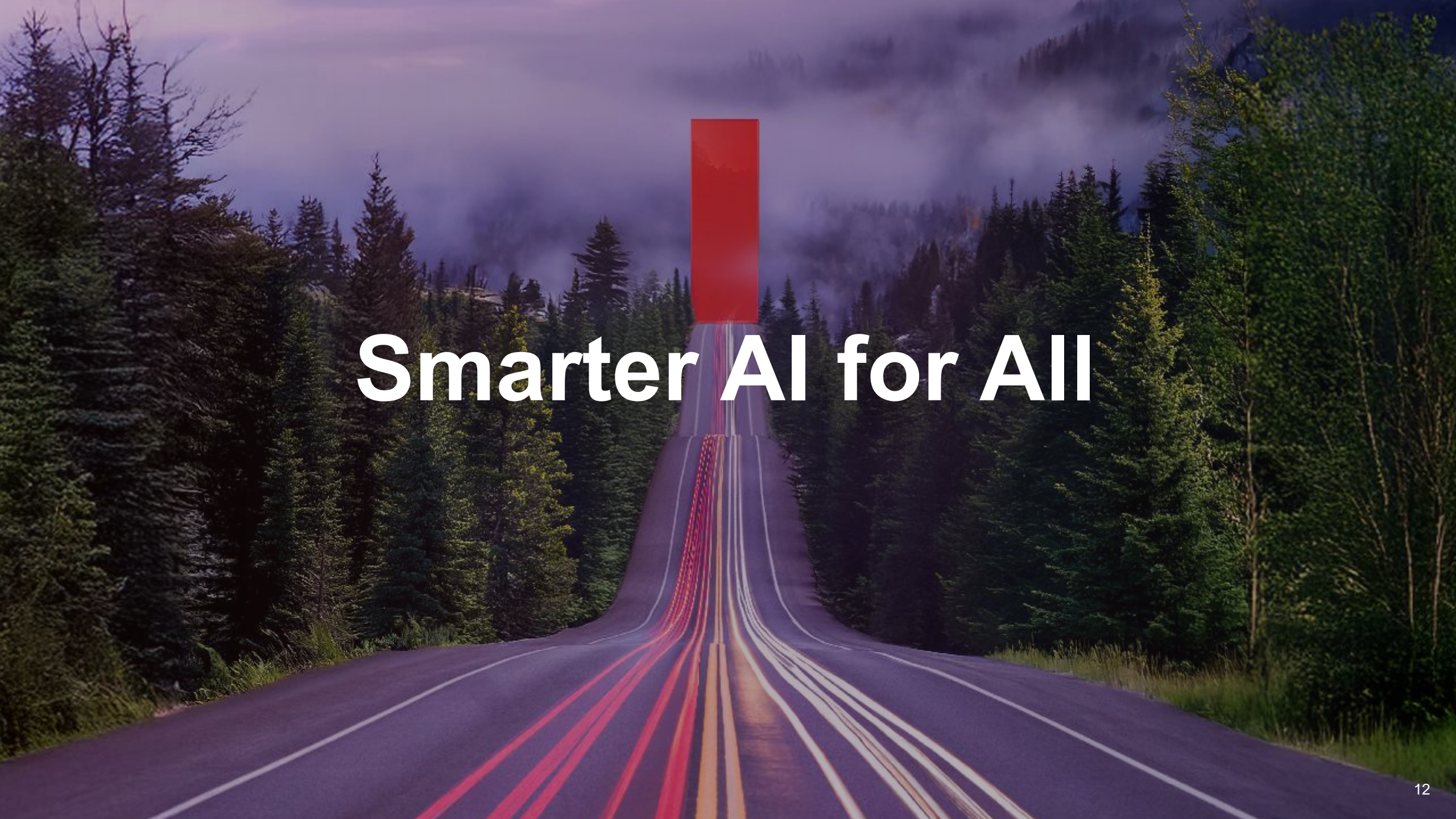
- Revenue **\$4.1 billion, +24%** YoY
- Continued CSP & ESMB dual strategy
- **CSP**: revenue FQ2 record high, **+21%** YoY
- **ESMB**: revenue **+30%** YoY, optimizing/rebuilding the business models for enterprise and SMB customers
- **AI infrastructure** revenue high double-digit YoY growth with strong pipeline

Enterprise AI

Unleashing Hybrid AI Advantage, from infrastructure to solutions & services

SSG Performance

- Revenue **\$2.6 billion, +18%** YoY, 18th consecutive quarter of double-digit growth
- Operating margin **22.3%**
- **Managed Services** revenue **+29%** YoY
- **Projects & Solutions** revenue **+13%** YoY
- Solutions and managed services mix almost **60%, +1pts** YoY
- **Support Services** revenue **+16%** YoY
- Building repeatable, scalable **AI solutions** in horizontal functions & selected vertical industries

A long-exposure photograph of a road winding through a forest at dusk. The road is dark, and the surrounding trees are silhouetted against a twilight sky. Light trails from cars are visible on the road, creating a sense of motion. A solid red rectangular graphic is positioned above the text.

Smarter AI for All

Smarter technology for all

Winston Cheng

Chief Financial Officer

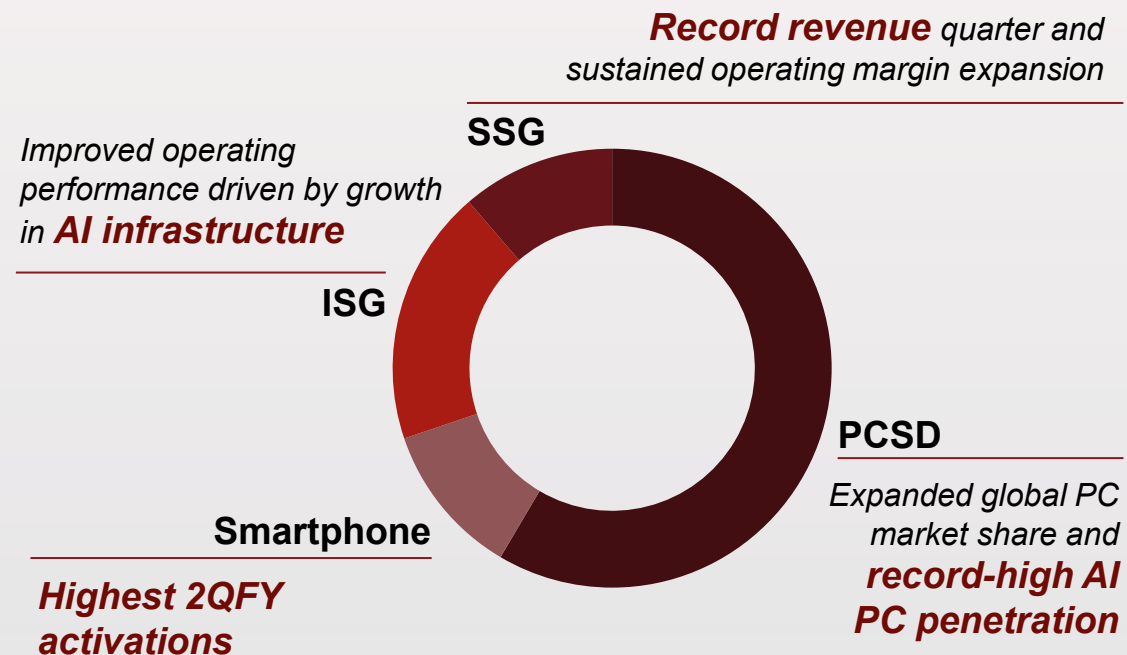
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Lenovo

Record Fiscal Quarter Revenue and Net Margin Expansion

Double-digit YoY Revenue Growth across all BGs and Geos

- ✓ **Record fiscal quarter** revenue of **US\$20.5B** (+**14.6%** YoY), with **double-digit** YoY growth across **all BGs**
- ✓ Accelerated growth of **AI-related revenues**¹, now accounting for **30%** of the Group's total (+**13**pts YoY), with **high-double digit** revenue growth YoY in **AI Servers** and **triple-digit** revenue growth in **AI PC**, **AI Smartphones** and **AI Services**
- ✓ **Adjusted** net income of **US\$512M** (+**25%** YoY); **Adjusted net margin** expanded to **2.5%**, driven by higher revenues

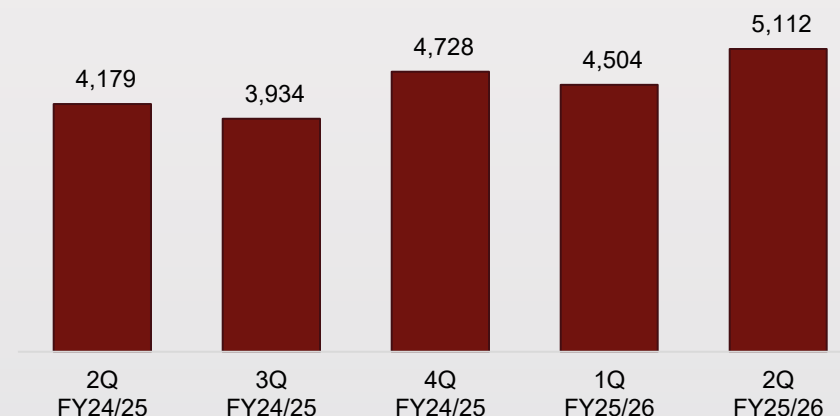


Cash Position

Strong OCF and Continuous Finance Cost Reduction to Support Business Growth

- **OCF** at **US\$1.5B** and **FCF** at **US\$1.1B** supporting future growth and sustainable business expansion
- **10-day** YoY improvement in **Days of Inventory** driven by inventory optimization, boosting cash conversion
- **31% YoY** reduction in **net finance costs**¹ through cost savings and enhanced working capital efficiency

Cash position supported by strong OCF, improved working capital and disciplined cash expenditure (\$M)



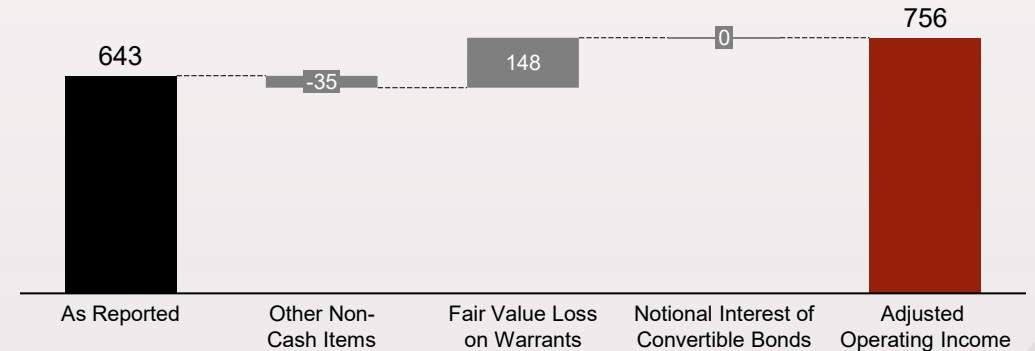
Non-HKFRS Adjustments

- ✓ **HKFRS** net income was **US\$340M**, including:
 - ✓ Non-cash fair value **loss** from **Warrants**: **US\$148M**
 - ✓ Notional interest from **Convertible Bonds**: **US\$28M**
- ✓ **Adjusted** net income offers a clearer view of our **core operational performance**
- ✓ Adjustments due to warrants and CBs related to the Alat strategic partnership are expected to persist through the **end of FY27/28**

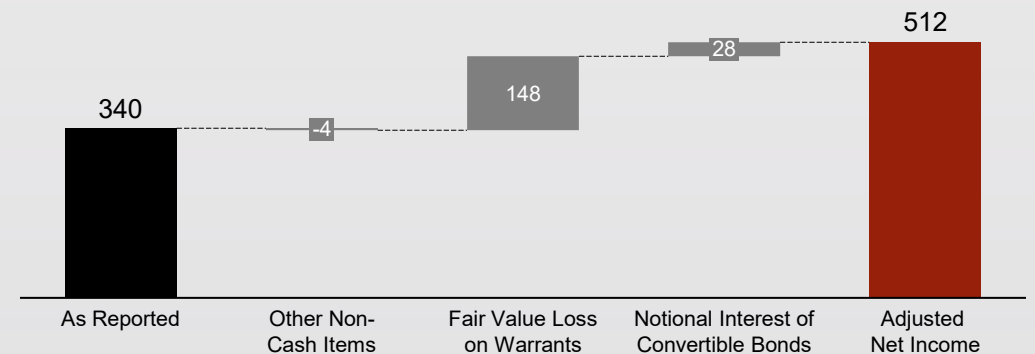
Other non-cash items include

- *Net fair value changes on financial assets at fair value through profit or loss*
- *Amortization of intangible assets resulting from mergers and acquisitions*
- *Write-off of intangible assets*
- *Dilution gain on interest in an associate*

Operating Profit: Non-HKFRS Adjustments (\$M)



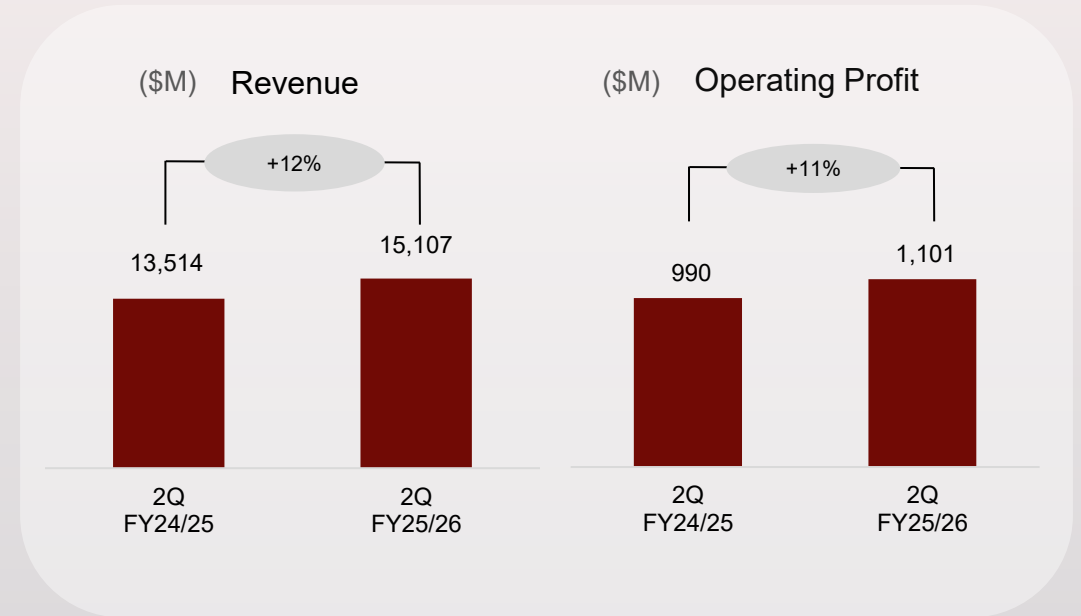
Net Income: Non-HKFRS Adjustments (\$M)



IDG

Intelligent Devices Group

- ✓ Expanded PC leadership globally with **record-high PC global market share of 25.6%**¹ (+1.8pts YoY)
- ✓ **Industry-leading profitability**, driven by solid performance in high-margin segments: **Premium PC**² shipments +25% YoY, **AI PC shipments** +121% YoY, **5-feature AI PC** reached **30%** of total PRC notebook shipments
- ✓ Our **cross-device AI ecosystem** underpins our accelerated **AI PC** penetration, now accounting for **33%** of total PC shipments (+16pts YoY), reinforcing our **#1** position in the global **Windows AI PC** market with a **31.1%** share¹
- ✓ **Smartphone** achieved **highest 2QFY activations**



Lenovo **AI PC** of total shipments

33%

PC record global market share

25.6%

Smartphone activations

Record high 2QFY

PC Leadership in All Key Categories

Commercial

#1 global M/S

28.6%

+2.2pts YoY

Consumer

#1 global M/S

22.1%

+1.2pts YoY

Gaming

#1 global M/S

19.7%

+1.5pts YoY

Windows
AI PC

#1 global M/S

31.1%

+2.2pts YoY

Premium PC

#1 global M/S

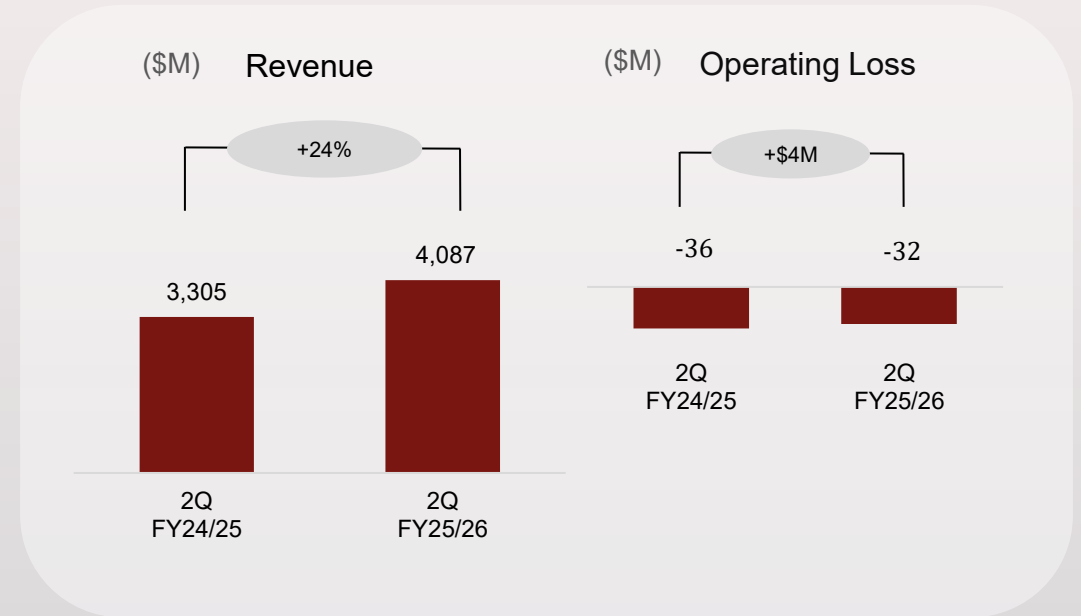
24.7%

+1.9pts YoY



Infrastructure Solutions Group

- ✓ **Strong 2Q revenue growth of 24% YoY** with improved operating performance, driven by **CSP new customer acquisitions** and **advancing Enterprise and SMB transformation**; **Neptune liquid-cooling** revenue up **154% YoY**
- ✓ **Enterprise and SMB transformation** accelerated to capture significant opportunities in **AI infrastructure** and **AI inferencing**
- ✓ **AI server** business achieved **high double-digit** revenue growth YoY, fueled by higher **AI adoption** and a clear **product launch** roadmap
- ✓ **PRC operations** showed consistent improvement in **operating margins**; Value differentiation rode on **uniquely localized offerings** and ODM+ model



AI Server revenue growth YoY

High double-digit

ISG Revenue exceeded

US\$4B

Neptune liquid-cooling revenue

+154% YoY

ISG Customer Win Highlights in 2QFY25/26

CSP



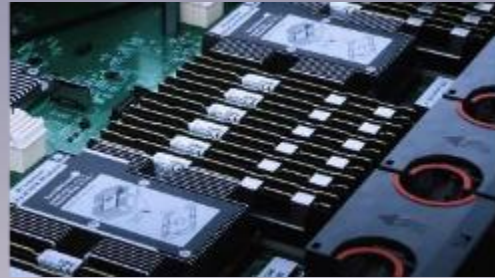
Renewable AI Infrastructure Provider

Delivered compute, storage and networking solutions to support the implementation of **AI training clusters** and **GPU-as-a-Service** for end users.

AI Hyperscaler

Designed an AI training cluster for end user within our **AI GPU-as-a-Service**.

ESMB



Communication Software Provider

Delivered storage infrastructure supporting Webex CPaaS to enable secure, scalable customer communication solutions.

AI Infrastructure Provider

Supported the deployment of AI training infrastructure built on next-generation GPUs.

Liquid Cooling



AI Cloud Provider

Delivered the first liquid-cooled AI deployment supporting large-scale, energy efficient workloads.

HPC

Deployed GPU-powered systems for design simulations, digital engineering, and a flagship research cluster.

Well-Positioned to Capture Enterprise and SMB AI Growth Opportunities

Enterprise Data Adoption

Enterprise and SMB accounted for ~70% of the server TAM

Lenovo: Penetration into the market via IBM x86 server acquisition

Rise of Internet & Data Service Providers

CSP increased to 50% of server TAM

Lenovo: Expansion into CSP business with unique ODM+ model

Large Language Model Training, Hyperscaler AI

Aggressive CSP investment in AI drove CSP > 70% of TAM

Lenovo: Reinforcing strength in liquid cooling technology

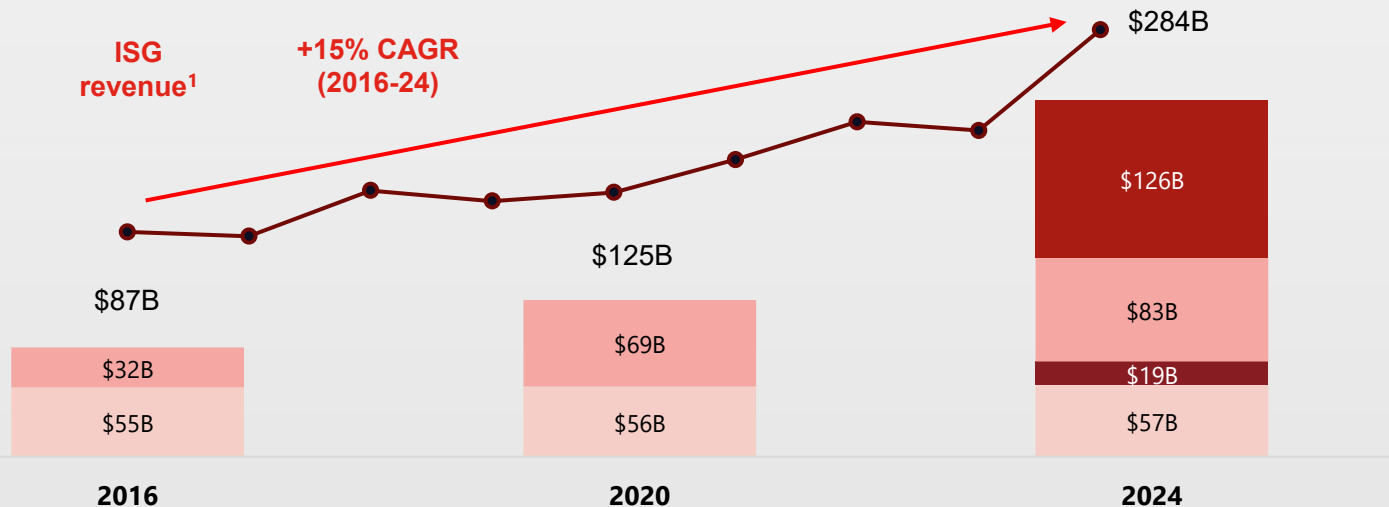
Next Stage: AI Inferencing

AI is shifting from training to inferencing, driving increased demand for on-premise hybrid environments

Lenovo: Leading in **hybrid infrastructure environment** to accelerate Enterprise and SMB AI adoption

WW infrastructure market value by CSP & ESMB (\$B)

ESMB non-accelerated ESMB accelerated CSP non-accelerated CSP accelerated

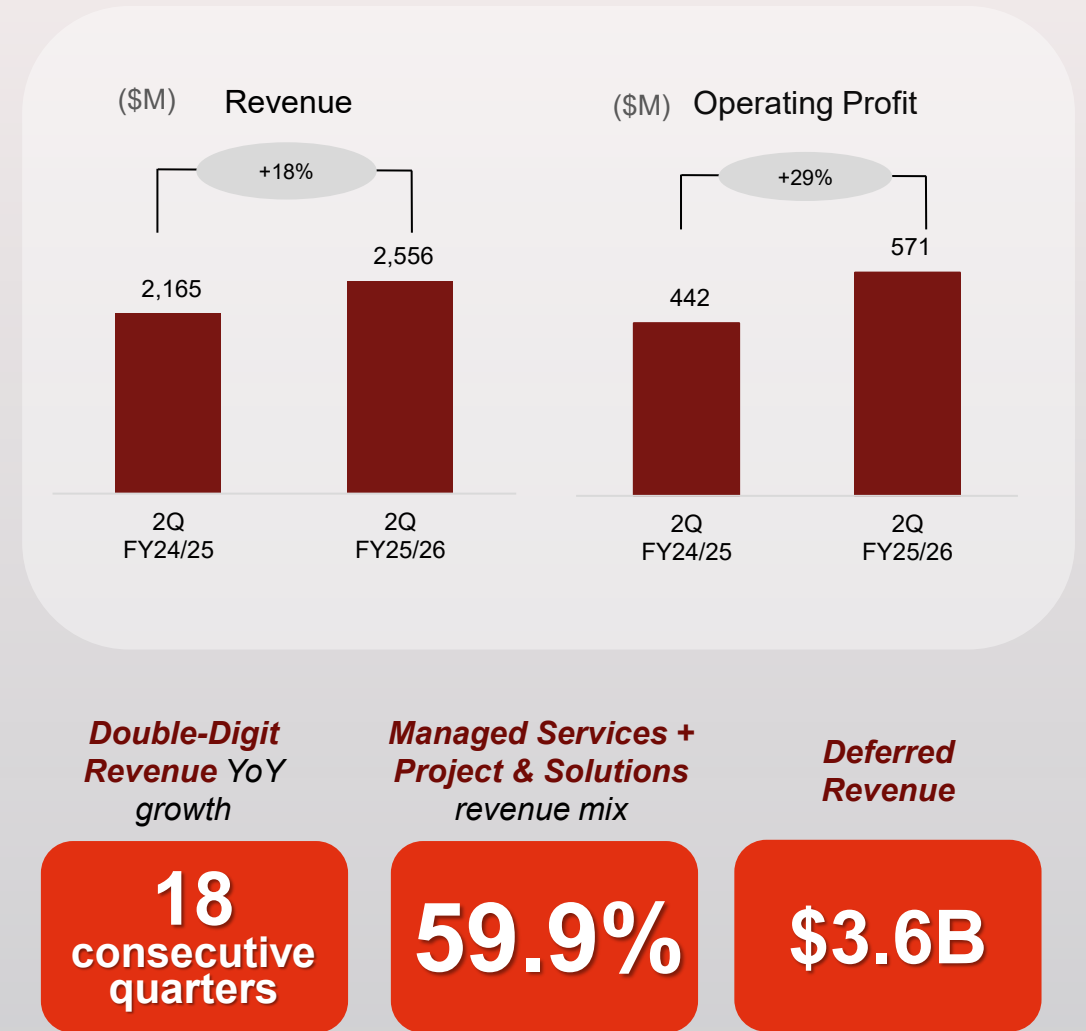


Well positioned to capture substantial opportunities in AI infrastructure and AI inferencing with unique capabilities in compute, services and domain solutions

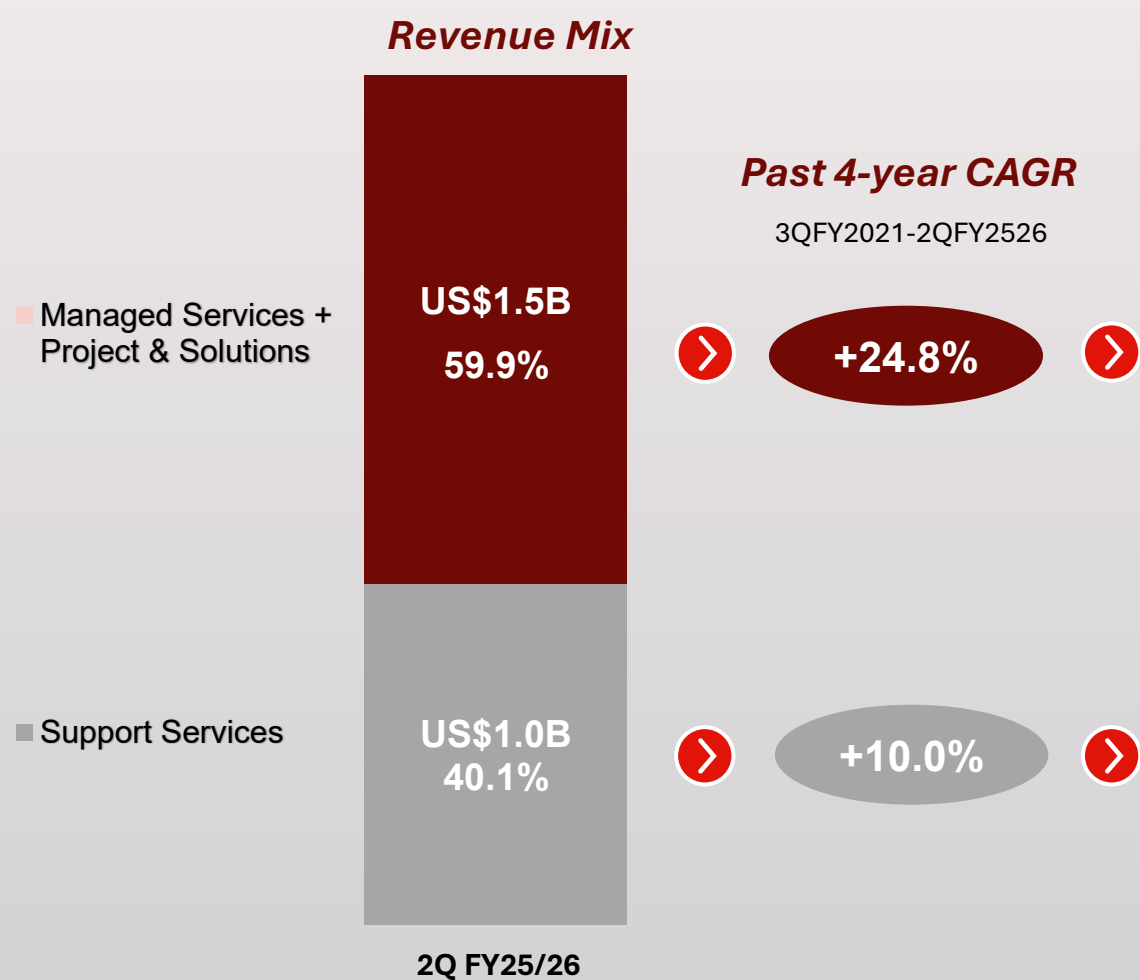
SSG

Solutions & Services Group

- ✓ **Record revenue quarter and 18th consecutive quarter of double-digit growth (+18% YoY). Operating margin sustained at 22%**
- ✓ Growing **2X** that of the addressable market¹, with robust **long-term prospects** underpinned by tailwinds in high growth sectors: **Hybrid Cloud, AI, and DWS**
- ✓ **Managed Services** and **Project & Solutions** revenue mix further advanced to an all-time high of **59.9%**
- ✓ **Project & Solutions** driven by enhanced **AI solutions** on targeted verticals such as manufacturing and retail; **TruScale DaaS/IaaS** revenue increased, with notable customer wins across global markets
- ✓ **Support Services** revenue/bookings growth both accelerated; **Deferred revenue** grew by 17% YoY to **US\$3.6B**



Managed Services, Project Solutions Driving Segment Growth



SSG Core Growth Drivers

Managed Services + Project & Solutions

- **Differentiated, tech-led service** cost optimization for customers and strengthened long-term engagement
- Capitalizing on market tailwinds in **high-growth** areas: **DWS, Hybrid Cloud, and AI** with **end-to-end solutions**
- **Subscription** and **consumption models** gaining traction
- **Lenovo Hybrid AI Advantage:** from infrastructure to model factory, agent development, and tailored horizontal and vertical solutions

Support Services

- **Consistent growth** underpinned by attach rates of PCSD and infrastructure services
- Near term Windows EOS and PC refresh remains tailwind

Lenovo: A Leader in ESG

A More Sustainable Future for All

Environmental Progress

Ranked 8th in the 2025 Gartner® Supply Chain Top 25



Includes 20% weighting on ESG performance



Canalys Sustainable Ecosystems Leadership Matrix "Champion" 2025

Smarter Social Impact

Recognized again as a "best place to work" for Disability Inclusion



By the Disability Index® in the US, the UK, and Brazil



2025 "Ambassador" in Workplace Pride Global Benchmark

Governing Ethical Innovation

Strategic collaboration on circular economy initiatives with UNIDO



Joined the Coalition for Sustainable AI



French government-led initiative in collaboration with UNEP and ITU

AA+ rating on the 2025 Hang Seng Corporate Sustainability Index



恒生指數
HANG SENG INDEXES

**Smarter
technology
for all**

Lenovo

thanks.

Smarter technology for all

Supplemental Financial Materials

1. Financial Summary
2. Condensed Consolidated Income Statement
3. Condensed Consolidated Balance Sheet
4. Condensed Consolidated Cash Flow Statement
5. Non-HKFRS Adjustments

Lenovo

1. Financial Summary

US\$ Million	2Q FY24/25	2Q FY25/26	YoY%
Revenue	17,850	20,452	15%
Gross profit	2,796	3,147	13%
Operating expenses	(2,145)	(2,504)	17%
Operating profit	651	643	-1%
Operating profit (Adjusted)	692	756	9%
Other non-operating income/ (expenses) - net	(178)	(149)	-16%
Profit before taxation	473	494	4%
Profit before taxation (Adjusted)	521	637	22%
Taxation	(90)	(114)	27%
Profit for the period	383	380	-1%
Profit for the period (Adjusted)	427	534	25%
Profit attributable to			
Other non-controlling interests	24	40	62%
Equity holders of the Company	359	340	-5%
Equity holders of the Company (Adjusted)	409	512	25%
EPS (US cents)			
Basic	2.92	2.77	-5%
Diluted	2.78	2.52	-9%

	Q2 FY24/25	Q2 FY25/26
Gross Margin	15.7%	15.4%
Operating Margin	3.6%	3.1%
Expense-to-Revenue Ratio	12.0%	12.2%
Profit Before Tax Margin	2.7%	2.4%
Net Income Margin	2.0%	1.7%
Adjusted Net Income Margin	2.3%	2.5%

2. Condensed Consolidated Income Statement

US\$ Million	2Q FY24/25	2Q FY25/26
Revenue	17,850	20,452
Cost of sales	(15,054)	(17,305)
Gross profit	2,796	3,147
Selling and distribution expenses	(868)	(963)
Administrative expenses	(746)	(802)
Research and development expenses	(548)	(581)
Other operating income/(expenses) – net	17	(158)
Operating profit	651	643
Finance income	29	27
Finance costs	(199)	(171)
Share of losses of associates and joint ventures	(8)	(5)
Profit before taxation (PBT)	473	494
Taxation	(90)	(114)
Profit for the period	383	380
Profit attributable to		
Other non-controlling interests	24	40
Equity holders of the Company	359	340
Equity holders of the Company (Adjusted)	409	512
Per share data		
Earnings per share (US cents) – Basic	2.92	2.77
Earnings per share (US cents) – Diluted	2.78	2.52

3. Condensed Consolidated Balance Sheet

US\$ Million	As of Sep 30, 2024	As of Sep 30, 2025
Current assets	28,206	33,217
Bank deposits and cash	4,239	5,207
Trade, lease, notes and other receivables	14,377	18,901
Inventories	9,119	8,617
Others	471	492
Non-current assets	16,258	16,614
Property, plant and equipment	2,020	2,100
Intangible assets	8,258	8,256
Others	5,980	6,258
Current liabilities	32,682	34,516
Borrowings	1,028	49
Trade, notes, other payables, accruals and provisions	29,486	32,031
Deferred revenue	1,556	1,820
Others	612	616
Non-current liabilities	5,691	7,826
Borrowings	2,616	4,398
Deferred revenue	1,557	1,810
Others	1,518	1,618
Total equity	6,091	7,489

4. Condensed Consolidated Cash Flow Statement

US\$ Million	2Q FY24/25	2Q FY25/26
Net cash generated from operating activities	987	1,543
Net cash used in investing activities	(205)	(358)
Net cash used in financing activities	(627)	(562)
Increase in cash and cash equivalents	155	623
Effect of foreign exchange rate changes	113	(15)
Cash and cash equivalents at the beginning of the period	3,911	4,504
Cash and cash equivalents at the end of the period	4,179	5,112

5. Non-HKFRS Adjustments

US\$ Million	2Q FY24/25				2Q FY25/26			
	Operating profit	Profit before taxation	Profit for the period	Profit attributable to equity holders	Operating profit	Profit before taxation	Profit for the period	Profit attributable to equity holders
As reported	651	473	383	359	643	494	380	340
Non-HKFRS adjustments								
Net fair value changes on financial assets at fair value through profit or loss	(20)	(20)	(15)	(9)	(65)	(65)	(50)	(32)
Amortization of intangible assets resulting from mergers and acquisitions	41	43	34	34	16	18	14	14
Impairment and write-off of intangible assets	20	20	20	20	14	14	14	14
Fair value loss on derivative financial liabilities relating to warrants	-	-	-	-	148	148	148	148
Dilution gain on interest in an associate	-	-	-	-	-	-	-	-
Notional interest of convertible bonds	-	5	5	5	-	28	28	28
Adjusted	692	521	427	409	756	637	534	512